Solution: Subsequent events and impact on audit report

	Question 1 **Evaluate the subsequent event, concluding whether or not it would be an adjusting event**	**Question 2** **Consider what, if any, additional audit evidence would be required**	**Question 3** **(i) analyse the impact on the audit report if the issue were not satisfactorily resolved; and** **(ii) recommend the appropriate type of audit opinion to be issued.**
1	As the acquisition took place after the year end this would not have an impact on the 31 March 2X19 financial statements **(1 mark)** and this would be considered a non-adjusting event. (**1 mark)** However, given the significance of the transaction, it is likely that a disclosure will be required in the financial statements. **(1 mark)**	Inspect any takeover documentation including board minutes and lawyer correspondence with Hi-Bank Investments ('Hi-Bank') **(1 mark)** to confirm acquisition is post year end. **(1 mark)** Inspect the proposed financial terms **(1 mark)** and consider its level in comparison to the materiality of the financial statements. **(1 mark)**	*Impact on the audit report* The takeover of another bank will likely be material to the business, increasing the assets of FB by 50%. **(1 mark)** It is likely that the proposed transaction would be considered pervasive, in relation to disclosure, as it is fundamental to a user's understanding of the financial statements. **(1 mark)** In adequate disclosure here results in a material misstatement. **(1 mark)** *Type of audit opinion to be issued* If the necessary disclosure is not made then this would result in an adverse opinion. **(1 mark)**
2	The liability for bonuses, and therefore the need to estimate the accrual and to update it for an increased level of staff bonuses, was in existence at the year end. **(1 mark)** This would, therefore, be considered an adjusting event **(1 mark)** however, the level of the change in provision from £1 million to £1.25 million is not material to the financial statements, so the provision is not materially understated. **(1 mark)**	Review FB's bonus criteria and recalculate **(1 mark)** to gain assurance on the level of bonus being awarded and compare to the year-end accrual. **(1 mark)** Inspect the board minutes to ensure bonuses awarded have been minuted and approved as payable **(1 mark)** and agree bonuses awarded to payroll records as paid post year end. **(1 mark)**	*Impact on the audit report and type of audit opinion to be issued* The under-accrual of staff bonuses amounts to £0.25 million which is not material to the financial statements, therefore the matter would not cause a modification to the audit report or opinion. **(1 mark)**

3	The investigation commenced during the 2X17-18 financial year **(1 mark)** and there is a provision for compensation and costs within the financial statements of £2.75 million. The FCA investigation is now complete and a report issued post year end includes the revised compensation penalty. Therefore, as this is a clarification of a pre-year end event, it would be considered an adjusting event. **(1 mark)** The provision of £2.75 million is understated by £2.25 million. **(1 mark)**	Inspect report and other correspondence from the FCA **(1 mark)** detailing findings, proposed fines and compensation payments to be made to customers. **(1 mark)** Inspect correspondence with FB lawyers re the level of fees due **(1 mark)** to determine whether a sufficient amount has been accrued. **(1 mark)**	*Impact on the audit report* There is an under provision for compensation of £2.25 million which is material for audit purposes. **(1 mark)** The board has indicated that it does not consider any additional provision is required which would result in a material misstatement if no adjustment is made. **(1 mark)** However, it is expected that this would not be pervasive as it is unlikely to be significant to the financial statements as a whole and we have already confirmed that it would not be significant enough to affect the going concern status of the company. **(1 mark)** *Type of audit opinion to be issued* If the FB board refuses to provide then we would issue a qualified 'except for' opinion. **(1 mark)**
4	Following the post year-end report regarding ESG, the board of directors ('the board') of FB has incorporated its suggestions into the ESG report contained in the 31 March 2X19 financial statements. **(1 mark)** This is not an adjusting event **(1 mark)**, but an extension of the scope of the audit work will be required to ensure that the responsibilities under ISA (UK) 720 *The auditor's responsibility relating to other information* are fulfilled. **(1 mark)**	Inspect the information contained within the revised ESG report **(1 mark)** and ensure that it is consistent with our understanding of the bank's ESG practices during the period to 31 March 2X19 and the information reported in the financial statements. **(1 mark)**	*Impact on the audit report* The ESG report constitutes 'other information' and is reviewed as part of the audit process, so we will need to address any issues within the 'other information' section of the audit report. **(1 mark)** *Type of audit opinion to be issued* If an inconsistency is detected, but this is within the information included in the ESG report **(1 mark)** and not the financial statements, then there is no impact on the audit opinion. (**1 mark)**